



Korea Industrials

Global Markets Research
20 September 2026

EQUITY: CAPITAL GOODS

Korea Defense/Industrials tour takeaways

Quick Note

We hosted a Korea Defense/Industrials tour during 16-18 September. The tour included visits to HD Hyundai Heavy Industries' (329180 KS, Buy) shipyard and HD Hyundai Electric's (267260 KS, Buy) factory along with group meetings. Twelve companies across the Defense, Shipbuilding, and Power equipment sectors participated in the meetings. Below are the key takeaways from the meetings.

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Fig. 1: Tour attendee companies – Ratings and target prices

Sector	Company	Ticker	Rating	Target Price (KRW)	Current price (KRW)	Upside (%)
Defense	Hanwha Aerospace	012450 KS	Buy	1,450,000	1,078,000	34.5
	LIG D&A	079550 KS	Buy	1,100,000	744,000	47.8
	Hanwha Systems	272210 KS	Reduce	60,000	80,000	(25.0)
	Hyundai Rotem	064350 KS	Buy	310,000	122,500	153.1
	Korea Aerospace Industries	047810 KS	Buy	160,000	129,800	23.3
Shipbuilding	HD KSOE	009540 KS	Neutral	410,000	337,500	21.5
	Samsung Heavy Industries	010140 KS	Neutral	25,000	20,800	20.2
	HD Hyundai Marine Solution	443060 KS	Buy	340,000	246,000	38.2
Power equipment	LS Electric	010120 KS	Buy	270,000	211,500	27.7
	Hyosung Heavy Industries	298040 KS	Buy	3,500,000	2,915,000	20.1
	HD Hyundai Electric	267260 KS	Buy	1,000,000	725,000	37.9

Note: Current prices as of 18 September 2026.

Source: Nomura estimates

Defense

Hanwha Aerospace (HA; 012450 KS, Buy)

Management highlighted that HA has been selected as the sole prototype contractor for the US SPH prototype program (6 units + option for 12 additional units; USD263mn), surpassing General Dynamics (GD US, Not rated), BAE (BA/ LN, Not rated), Elbit (ESLT US, Not rated), Leonardo (LDO IM, Not rated), and Rheinmetall (RHM GR, Not rated). The total procurement size can reach ~500 units (~KRW7-10tn), with development revenue recognition likely by 2029E; management noted that the US SPH project could have a cost-plus-margin structure with incentives, supporting 15–20% margins, which we think is fairly high (we expect the project's OPM to be 10-15%). Other updates included: (1) a sub-contractor agreement with Indra (IDR SM, Not rated) for Spain, (2) Croatia's Chunmoo order alongside HIMARS, and (3) L-SAM/M-SAM reaching the top-two in Switzerland's air-defense competition.

In the Middle East, management expects the UAE L-SAM tender and Saudi preferred-bidder selection this year, and Kuwait has formally discussed M-SAM procurement. Management indicated that the order backlog can grow from the current ~KRW40tn through 2026-27E, and estimates a mid-term revenue CAGR target of 20-25%. Management targets to maintain or improve land systems margins (currently ~25%), and plans to fund 2026-28E annual capex of KRW2-3tn without equity offering. Regarding KAI (047810 KS, Buy), management is not currently seeking additional shares and awaits government approval for the privatization of KAI, before which board entry and consolidation by HA is not possible.

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LIG D&A (079550 KS, Buy)

Management emphasized that many strategic weapon contracts are classified; therefore, the absence of disclosures does not imply inactivity. However, management appeared very positive about winning the Middle East order in 2H26E. According to management, backlog has been steady (1H26 at KRW24.5tn vs. 2025 at KRW26.2tn), as 1H new orders reached ~KRW600bn (~KRW400bn from overseas), and the 2026E new order target has been raised from KRW3tn to KRW5tn, with ~KRW2tn of export orders. Management expects classified programs to result in higher R&D expenses and capex over the next 2-3 years, and capital-raising remains an option. In Southeast Asia, LIG D&A's short-range SAM has been selected for Malaysia's new frigate, and inquiries for MANPADS, torpedoes, and sonar are increasing.

For Europe, management views the Rheinmetall partnership as essential to meet NATO's 65% local-content requirement, and a weapon system mock-up for potential joint development with Rheinmetall was showcased at an international defense industry exhibition (MSPO 2026). According to management, delays in new orders from the Middle East can be attributed to the regional conflict rather than weaker demand. Management explained that FX hedging remains below 50%, and expects to meet its 2026E OPM guidance of 8% (vs. 1H26 OPM of ~13%), as 2H26E profitability is likely to soften.

Hanwha Systems (HS; 272210 KS, Reduce)

Management noted that defense accounts for ~70% of revenue, and ISR (radar) is the largest business segment; exports accounted for 20%/31%/23% of defense revenue in 2025/1Q26/2Q26. According to management, radar represents ~30% of M-SAM contract value and ~10% of large-scale platforms (warships, fighter jets, etc.); and, HS' content exceeds 15% of KF-21 system value. Management highlighted key pipeline items including the UAE term sheet (disclosure expected this year), UAE/Saudi L-SAM (Saudi contract likely in 2027E), Middle East SAR satellite exports. Management is targeting the system integrator role for L-SAM exports and L-SAM II projects. Domestic defense OPM is ~0% for R&D, high-single-digits for mass production, and low-teens level for MRO (maintenance, repair and overhaul).

On US shipbuilding, management noted that Philly Shipyard (unlisted) remained loss-making through 2Q with turnaround deferred to next year. Hanwha Defense USA (unlisted) is leading the Austal USA (unlisted) *acquisition* (due diligence underway); management believes the US government favors Hanwha but has no guidance yet on raising bid value. The 19.8% stake in Austal (ASB AU, Not rated) held by Hanwha Group will not be divested below purchase price.

Hyundai Rotem (HR; 064350 KS, Buy)

Management provided an update on its K2 exports pipeline across four countries. **Peru** submitted its budget in August with approval expected by November. **Iraq** is considering purchase of ~250 tanks, but cabinet formation and fiscal constraints are delaying approval. **Romania's** plan for procurement of 216 tanks + 76 support vehicles is unchanged, with the RFP still due by end-2026, and both a competitive bid (vs. Leopard and KF51) and direct contract are under consideration. **Poland** EC3 remains the most visible project, with an invitation to negotiate expected in 2H26E and a contract by 2027E.

Management explained that EC1 OPM was 5-10% in early stages and reached 30-40% later, EC2 recognized ~30% from the outset, and EC3 margin is likely to follow the EC2 pattern. K2GF/K2PL remains 40-50%/20-30% cheaper than Leopard/Abrams. Management does not anticipate that drones will replace tanks; tanks integrated with APS, anti-jamming, RCWS (remote controlled weapon station), and unmanned systems remain essential. The rail division targets high-single to low-teens OPM over time.

Korea Aerospace Industries (KAI; 047810 KS, Buy)

Management attributed the weak 2Q results to two factors: LAH delivery delays and FX. Only six LAH units were delivered in 1H against the annual target of 30, as deliveries were suspended due to an engine supply issue. Deliveries are expected to resume in October–November, but are subject to engine supply timing. On FX, KRW weakness works against KAI in progress rate-based programs, as advance payments are fixed at historical FX rates while USD-denominated costs reflect spot rates; management expects 3Q KRW strength to provide relief. Fixed-price production programs (LAH, KF-21) carry materially better margins than system development projects with a cost-plus-margin structure.

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Management expects the Indonesia KF-21 export contract (~KRW4tn) in 2H26E, 1 or 2 FA-50 export contracts by year-end, and the ~KRW2tn LAH Phase-3 production contract by year-end. Export new orders are likely to meet or fall short of guidance as a Middle East helicopter program is delayed to 2027E, while domestic orders should exceed the guidance, and ~KRW10tn if total 2026E new orders guidance appears reasonable, according to management. The 2027-28E pipeline includes Egypt FA-50 (36 units, USD1bn), Malaysia Phase-2, Peru, Philippines/UAE KF-21, and the remaining domestic KF-21 batch (80 units, KRW7-8tn). On a potential *takeover* by HA, management and the union remain opposed, citing risks of forfeiting low-margin long-term projects for technology buildup and engine/airframe conflicts, though engine pricing synergies were acknowledged.

Shipbuilding

HD Korea Shipbuilding & Offshore Engineering (KSOE; 009540 KS, Neutral)

Management detailed its engine expansion plan, adding 1.2GW at the existing plant by 2H27E, with a new 3GW plant for 20MW engines set to begin operation from mid-2028E (KRW833bn capex), targeting 30%/80%/100% utilization in 2028/29/30E. According to management, each 1GW capacity can generate ~KRW1tn of revenue, suggesting potential upside of ~KRW4tn at full utilization. AIDC-related inquiries reached 1.7GW YTD. Management noted Hyundai Heavy's (329180 KS, Buy; KSOE's subsidiary) engines are priced ~25% lower than foreign competitors' as a market-entry strategy. In SMR (small modular reactors), HD Hyundai Group has a term agreement with TerraPower (unlisted) for six major components, with expected reactor vessel production capacity of 2 units/year from 2029E (~KRW100bn revenue per unit).

On shipbuilding, management noted KSOE has achieved 87% of its annual order target. Management expects LPGC demand to remain strong for 2–3 years, while LNGC orders fell short of early-year expectations as labor shortages due to US AIDC buildout delayed LNG projects (management expects a recovery in late 2026–27E), and tanker demand remained firm. KSOE will be more selectively taking new orders, retaining LNGC/LPGC as a core while leveraging the Philippines yard for tankers. Management explained that every +10 rise in USD/KRW would reduce annual OP by ~KRW30bn, and backlog is 75% FX-hedged. For FDC (floating data center), management views newbuild to be more economical for 100MW+ capacity, while retrofit of existing vessels would be more reasonable for <50MW capacity. Mipo Dockyard's utilization rate currently stands at ~60%, indicating capacity availability for FDC construction.

Samsung Heavy Industries (SHI; 010140 KS, Neutral)

SHI recorded 2Q revenue of KRW3.2tn (+11.3% q-q) with OP of KRW325bn (+19.0% q-q; OPM +0.7pp q-q), and management expects continued improvement of revenue/OP/OPM through 2028E backed by high-priced backlog. YTD orders are ~USD11.7bn, with merchant orders of USD7.3bn already exceeding the USD5.7bn target. Management views the USD13.9bn annual new order target as achievable even if one of the targeted offshore projects gets delayed. Management forecasts global LNGC orders of 80+ units per year in 2026–27E, container orders to decline 30–40% in 2026E, and a very strong tanker market. Main engines are sourced ~50%/50% from Hyundai Heavy and Hanwha Engine (082740 KS, Not rated), with no customers requiring China-made engines thus far.

On FDC, management highlighted AIP certification obtained for 50MW/200MW models and collaboration with US developer Moustarian (unlisted) on two 50MW units for 2Q28E delivery, with the long-term goal of GW-scale contracts. According to management, hyperscalers prioritize lead time over cost, as US onshore data centers take 3-5 years for permission and ~2 years for construction. If FDC pricing aligns with onshore budgets (USD8–12mn/MW), it should be competitive. In the US, design for the NGLS program with NASSCO (unlisted) (13 ships; ~USD6bn) is planned to be submitted in March 2027E, with yard selection in late 2027–early 2028E against VARD (unlisted)/Hanwha Ocean (042660 KS, Reduce).

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HD Hyundai Marine Solution (HMS; 443060 KS, Buy)

Management explained that 2Q OP missed the consensus estimate due to ~KRW6bn of unexpected additional costs, of which KRW4bn was a one-off. AM (after market) revenue posted a record-high level for six consecutive quarters. Management expects retrofit to remain sluggish through 2027E on IMO regulation decision delays, while digital solutions revenue is likely to grow by ~30% p.a. until 2027E. Management's 20% CAGR target until 2028E for core revenue excludes DC engine service and FDC. Management provided a breakdown of its AM revenue CAGR target into 5-7% from the installed base, 3-5% pricing, and ~10% from DF mix and service coverage; DF share in AM is ~15% and is set to reach 25% by 2028E.

On DC engines, management explained that power engines operate 8,000+ hours annually, implying a ~3-year overhaul cycle (vs. 5 years for marine) and ~8 cycles over a 25-year life, each costing ~30% of new engine price. With Hyundai Heavy reaching engine production capacity of 4GW/year by 2030E, management believes power engine service revenue could match this year's core business revenue with relatively higher margins. Management expects additional ~120 service engineers would be needed every year, thus preparing for a potential M&A of service providers. Management stated net cash and 50-70% payout ratio range will be maintained. FDC standard design is planned for completion by year-end, with a 3-vessel package to be proposed to hyperscalers.

Power equipment

LS Electric (LSE; 010120 KS, Buy)

Management highlighted new orders as the key metric to monitor, given the short timeline of backlog-to-earnings conversion, with strong new orders in 2Q26 to be reflected in the 3-4Q26E results. LSE onboarded two new LLM developers as new customers in 3Q, and the company is also preparing to supply LV switchgears to the US apart from the 38kV MV switchgear (currently LSE's main products for US AIDCs). Management expects that, upon successful penetration into the US LV switchgear market, LSE's content per AIDC capacity can more than double from the current ~KRW500bn/GW. A US fuel cell solution provider remains the key customer, with greater new order growth momentum vs. other US big tech customers. Currently, management is not particularly concerned about competition from Chinese players, given that the US is expanding regulations for China-made power equipment

LSE is targeting to add ~KRW2tn of revenue capacity by 2028E (assuming a single-shift; a second shift for switchgear production can add another ~KRW1tn), for which capex is to be mainly funded through bond issuance. Management guided that FCF in 2026E is likely to be negative due to substantial investment needs, while it should improve from 2027E. By expanding US production of switchgear/circuitbreaker in its Utah factory, LSE expects US OPM from these products to improve by 5-10pp from the current ~20%/~35% level.

Hyosung Heavy Industries (298040 KS, Buy)

Management views that demand remains solid with increasing visibility, based on a strong pipeline including transformer orders for delivery in 2029-30E. The US remains the largest contributor, and US mix in revenue is set to expand going forward. Management underscored a recent win of 765kV/345kV transformer new orders from two AIDC customers (KRW387bn combined), indicating that big techs/hyperscalers are now directly investing in transmission grids for their own data centers while utilities are refraining from potential over-investments. Management explained that while this is more about a shift in the composition of customers who make orders, rather than an increase in underlying demand, it is still a favorable trend for Hyosung Heavy, which specializes in UHV including 765kV.

Regarding capacity, Korea GIS expansion is complete, and US transformer factory expansion will be undertaken in two phases (targeting Phase-1 completion by 2026E and Phase-2 by 2028E), and the company currently sees no labor supply bottleneck. Its US JV with Quanta Services (PWR US, Not rated) is also set to commence production in October. Management guided a high likelihood of achieving the annual result target, and that their revenue/OP are 100% FX-hedged. The company is also preparing future growth-driver products, including HVDC, SST, and STATCOM.

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HD Hyundai Electric (HDHE; 267260 KS, Buy)

Management explained slower growth of OPM (+0.2pp q-q) vs. revenue/OP (+10.2%/+11.1% q-q) in 2Q26 due to temporarily lower revenue contribution from the power equipment division, as the relatively lower-margin distribution sales grew. The company expects OPM to further improve, based on the seasonality that power equipment delivery is more concentrated in 2H.

On AIDC, management highlighted a KRW1.1tn contract with a major big tech client for 2027-28E delivery (~50% power equipment + ~50% distribution). Management expects further big tech order wins based on package deals of power and distribution equipment, leveraging the company's bargaining power for transformers. The company is negotiating with three other big tech customers, and guided growth of big tech/AIDC orders' share within power equipment new orders from 1.8% in 2025 to 6.3% in 2026E and 16.0% in 2027E. Regarding HD Hyundai Group's order wins for AIDC on-site generation engines, HDHE expects to take 6-10% of the order value, supplying generators.

As new production capacity comes online, management expects ~80% utilization of additional capacity in year one, and the company is well managing to secure skilled workforce. Management explained that ~50% of the company's annual cashflow is FX-hedged, and the company is likely to sustain an ~40% dividend payout ratio. Regarding market talk around potential slowdown of AIDC buildout in the US, management currently sees no significant concerns.

Appendix A-1

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We, Eon Hwang and YJ Kim, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

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Materially mentioned issuers

Subject issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
HD Korea Shipbuilding & Offshore Engineering	009540 KS	KRW 337,500	18-Sep-2026	Neutral	N/A	
LS Electric	010120 KS	KRW 211,500	18-Sep-2026	Buy	N/A	
Samsung Heavy Industries	010140 KS	KRW 20,800	18-Sep-2026	Neutral	N/A	
Hanwha Aerospace	012450 KS	KRW 1,078,000	18-Sep-2026	Buy	N/A	
Korea Aerospace Industries	047810 KS	KRW 129,800	18-Sep-2026	Buy	N/A	
Hyundai Rotem	064350 KS	KRW 122,500	18-Sep-2026	Buy	N/A	
LIG D&A	079550 KS	KRW 744,000	18-Sep-2026	Buy	N/A	
HD Hyundai Electric	267260 KS	KRW 725,000	18-Sep-2026	Buy	N/A	
Hanwha Systems	272210 KS	KRW 80,000	18-Sep-2026	Reduce	N/A	
Hyosung Heavy Industries	298040 KS	KRW 2,915,000	18-Sep-2026	Buy	N/A	
HD Hyundai Marine Solution	443060 KS	KRW 246,000	18-Sep-2026	Buy	N/A	

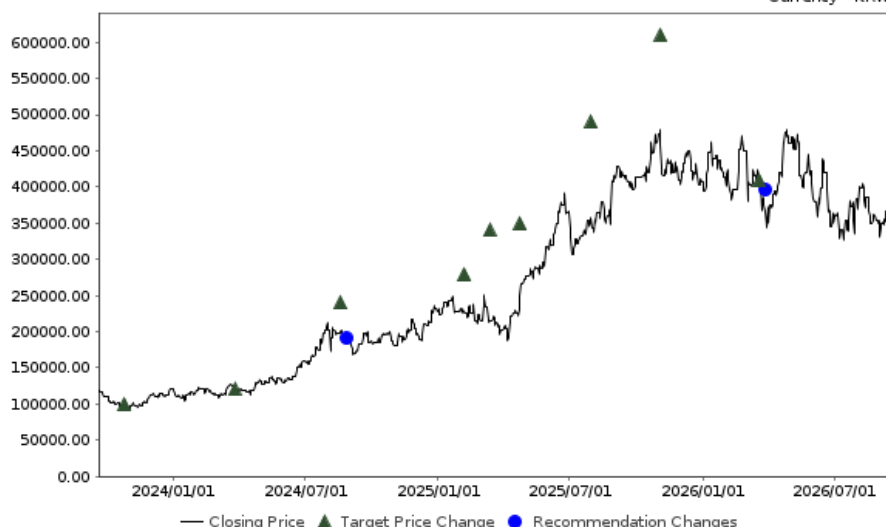
HD Korea Shipbuilding & Offshore Engineering (009540 KS)

KRW 337,500 (18-Sep-2026) Neutral (Sector rating: N/A)

Rating and target price chart (three year history)

HD Korea Shipbuilding & Offshore Engineering

As of 20-Sep-2026
Currency = KRW



Date	Rating	Target price	Closing price
20-Mar-26	Neutral		404,500.00
20-Mar-26		410,000.00	404,500.00
04-Nov-25		610,000.00	457,500.00
31-Jul-25		490,000.00	359,000.00
24-Apr-25		350,000.00	249,500.00
13-Mar-25		340,000.00	214,500.00
06-Feb-25		280,000.00	228,000.00
19-Aug-24	Buy		199,300.00
19-Aug-24		240,000.00	199,300.00
26-Mar-24		120,000.00	124,900.00
26-Oct-23		100,000.00	96,900.00

Source: LSEG, Nomura

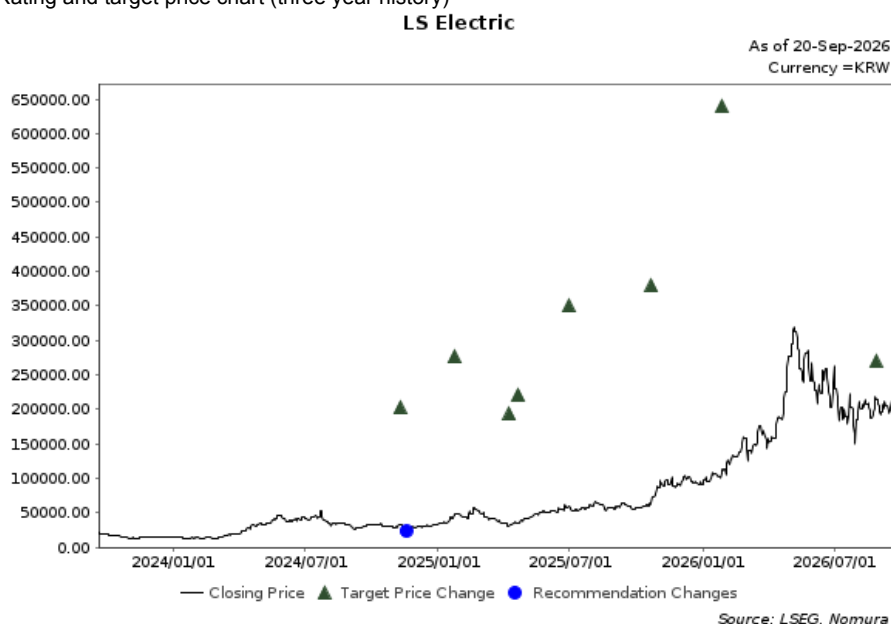
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of KRW410,000 is based on SOTP valuation, where we value its listed holdings and HSHI at KRW27.1tn, and its other unlisted holdings at KRW502bn. The benchmark index for this stock is KOSPI.

Risks that may impede the achievement of the target price Downside risk is global new orders decline owing to economic headwinds. Upside risks is thematic stock movement driven by defense opportunity expectations and global disruptions.

LS Electric (010120 KS)**KRW 211,500 (18-Sep-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
28-Aug-26		270,000.00	214,500.00
27-Jan-26		640,000.00	107,400.00
22-Oct-25		380,000.00	63,900.00
30-Jun-25		350,000.00	59,800.00
21-Apr-25		222,000.00	35,320.00
09-Apr-25		194,000.00	29,820.00
23-Jan-25		277,000.00	46,400.00
09-Nov-24	Buy		32,400.00
09-Nov-24		203,000.00	32,400.00

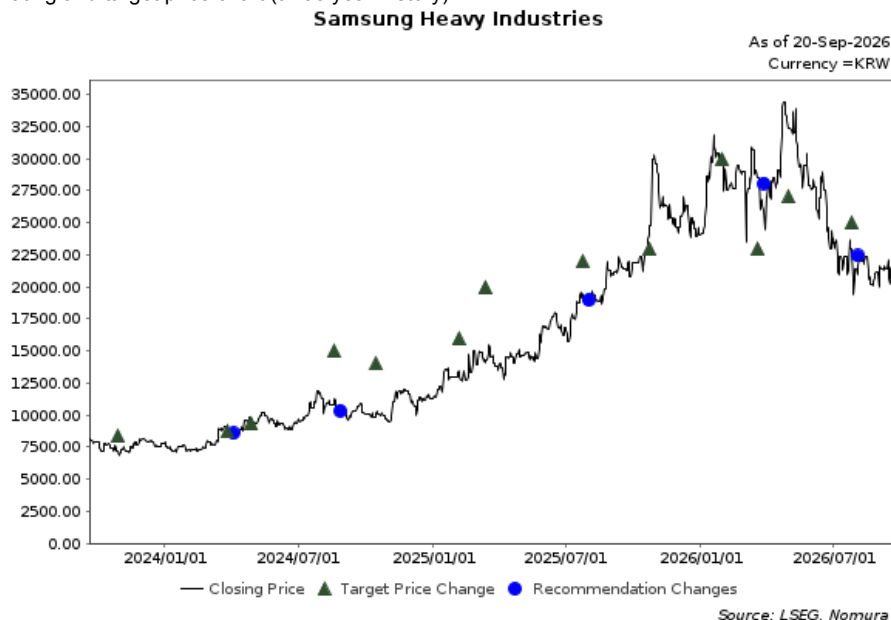
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of KRW270,000 is derived by applying a target P/E of 57.4x to 2027F EPS of KRW4,707. The target P/E is at 100% premium to global peers' average consensus. We apply the premium, as we expect LS Electric to achieve much faster EPS growth than peers. The benchmark index for this stock is KOSPI.

Risks that may impede the achievement of the target price Downside risk is delay in AI DC construction due to local communities' protests.

Samsung Heavy Industries (010140 KS)**KRW 20,800 (18-Sep-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
26-Jul-26	Neutral		22,900.00
26-Jul-26		25,000.00	22,900.00
01-May-26		27,000.00	32,350.00
20-Mar-26	Reduce		28,550.00
20-Mar-26		23,000.00	28,550.00
30-Jan-26		30,000.00	29,450.00
23-Oct-25		23,000.00	23,900.00
24-Jul-25	Neutral		19,450.00
24-Jul-25		22,000.00	19,450.00
13-Mar-25		20,000.00	14,080.00
05-Feb-25		16,000.00	13,400.00
15-Oct-24		14,000.00	10,230.00
19-Aug-24	Buy		10,800.00
19-Aug-24		15,000.00	10,800.00
28-Apr-24		9,400.00	9,850.00
26-Mar-24	Neutral		9,060.00
26-Mar-24		8,700.00	9,060.00
29-Oct-23		8,400.00	7,190.00

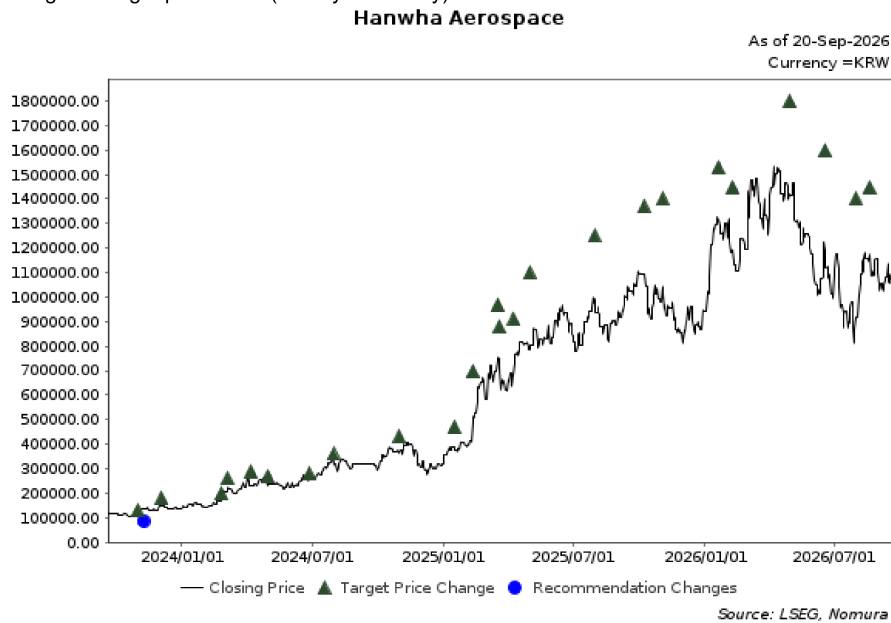
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of 25,000 is based on a 12-month-forward (12MF) BVPS of KRW7,456 (previously: 12MF BVPS of KRW6,738), multiplied by a target P/B of 3.35x (previously: 4.01x). Our target P/B implies a 4.3% premium to SHI's implied P/B of 3.21x. We factor in the premium coming from the US naval opportunity, as SHI is now participating in MASGA (Make America Shipbuilding Great Again) project.

Risks that may impede the achievement of the target price Upside risks are (1) blockage of Bab Al-Mandab Strait which could lead to massive new orders of tankers and (2) unexpected FDC new orders. Downside risk will be continued expansion of Chinese shipyard.

Hanwha Aerospace (012450 KS)**KRW 1,078,000 (18-Sep-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
19-Aug-26		1,450,000.00	1,177,000.00
31-Jul-26		1,400,000.00	917,000.00
18-Jun-26		1,600,000.00	1,189,000.00
30-Apr-26		1,800,000.00	1,417,000.00
09-Feb-26		1,450,000.00	1,193,000.00
20-Jan-26		1,530,000.00	1,309,000.00
03-Nov-25		1,400,000.00	1,042,000.00
08-Oct-25		1,370,000.00	1,097,000.00
31-Jul-25		1,250,000.00	996,000.00
01-May-25		1,100,000.00	784,814.00
09-Apr-25		910,000.00	680,435.00
20-Mar-25		880,000.00	710,961.00
18-Mar-25		970,000.00	752,318.00
11-Feb-25		700,000.00	490,386.00
16-Jan-25		470,000.00	387,976.00
31-Oct-24		430,000.00	362,373.00
31-Jul-24		360,000.00	315,010.00
27-Jun-24		280,000.00	257,040.00
01-May-24		270,000.00	231,336.00
07-Apr-24		290,000.00	232,430.00
05-Mar-24		260,000.00	202,679.00
25-Feb-24		200,000.00	168,552.00
04-Dec-23		180,000.00	151,271.00
31-Oct-23	Buy		110,472.00
31-Oct-23		130,000.00	110,472.00

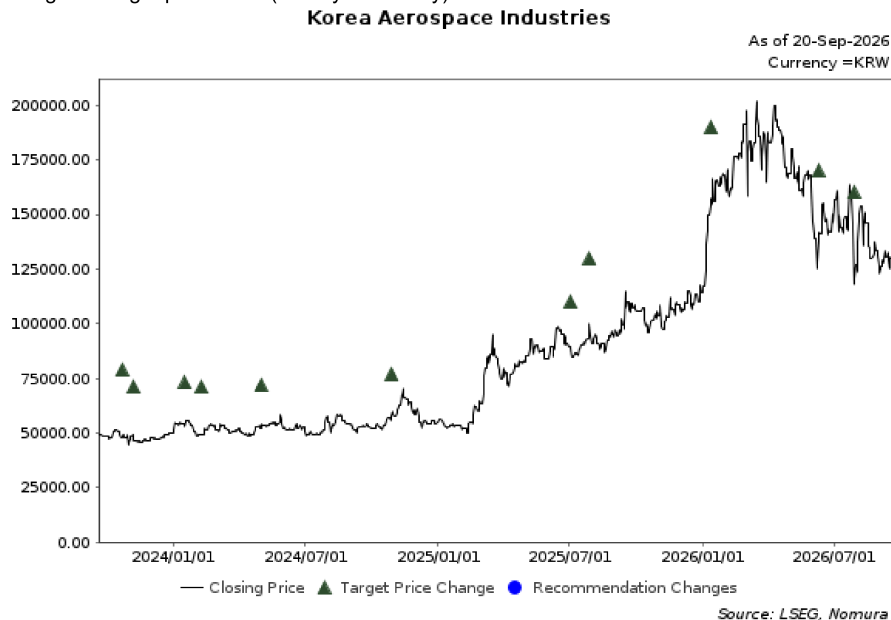
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of KRW1,450,000 is based on SOTP valuation. We derive HA's operating value of KRW71.3tn by multiplying a P/E of 33.2x (2026E global peer average) with our 12MF adjusted NP of KRW2.1tn, which excludes the earnings of Hanwha Systems (HS; 272210 KS, Reduce) and Hanwha Ocean (HO; 042660 KS, Reduce). We assume a 70% (unchanged) discount for the ownership value of its subsidiaries.

Risks that may impede the achievement of the target price A downside risk is delays in new orders from the Middle East due to the conflict in the region.

Korea Aerospace Industries (047810 KS)**KRW 129,800 (18-Sep-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
29-Jul-26		160,000.00	117,500.00
10-Jun-26		170,000.00	137,600.00
13-Jan-26		190,000.00	157,300.00
29-Jul-25		130,000.00	100,500.00
03-Jul-25		110,000.00	88,900.00
29-Oct-24		77,000.00	57,800.00
01-May-24		72,000.00	51,800.00
09-Feb-24		71,000.00	49,100.00
17-Jan-24		73,000.00	52,800.00
07-Nov-23		71,000.00	49,450.00
22-Oct-23		79,000.00	47,750.00

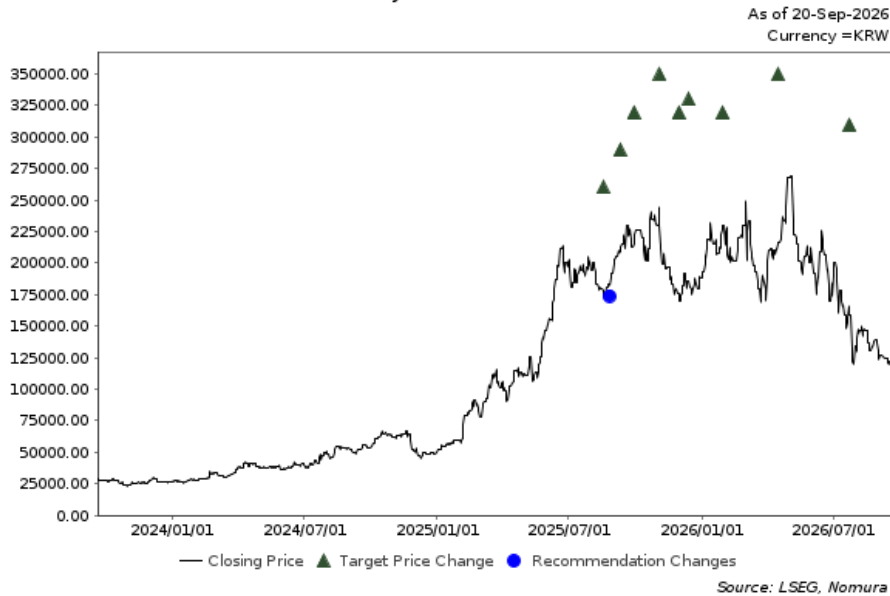
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of KRW160,000 is based on a target P/E of 33.4x applied to our 2027F EPS estimate of KRW4,701. Our target P/E is 10% discount on the peak 12MF P/E over 2014-15, during which KAI's earnings and new orders were on an uptrend. We have applied the new discount on the worries of LAH delivery delay owing to the engine defect.

Risks that may impede the achievement of the target price Downside risk can be stock price correction when Hanwha group share purchase ends.

Hyundai Rotem (064350 KS)**KRW 122,500 (18-Sep-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)

Hyundai Rotem

Date	Rating	Target price	Closing price
24-Jul-26		310,000.00	158,400.00
16-Apr-26		350,000.00	215,000.00
30-Jan-26		320,000.00	230,500.00
14-Dec-25		330,000.00	186,400.00
30-Nov-25		320,000.00	175,700.00
04-Nov-25		350,000.00	230,000.00
29-Sep-25		320,000.00	215,500.00
10-Sep-25		290,000.00	208,500.00
18-Aug-25	Buy		178,900.00
18-Aug-25		260,000.00	178,900.00

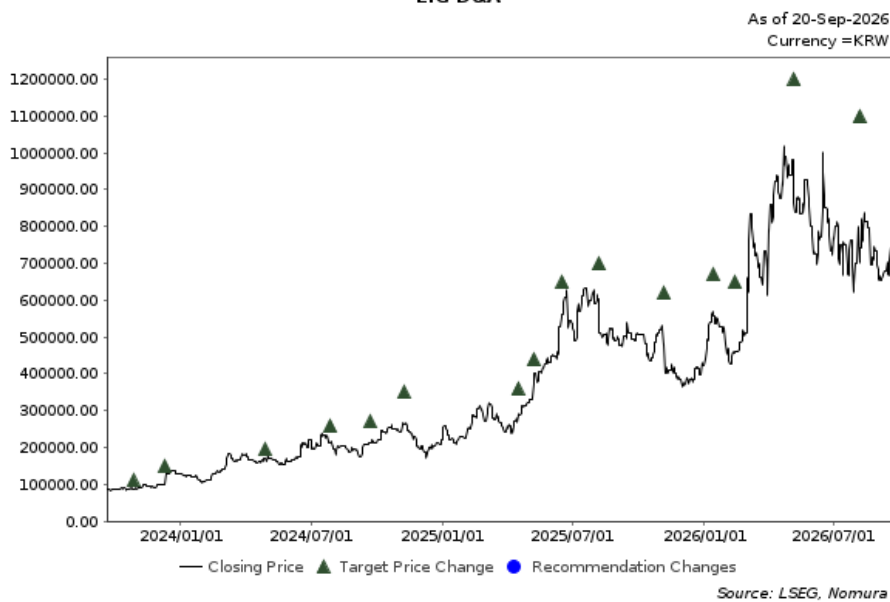
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of KRW310,000 is derived by applying target P/E of 26.9x to 12MF EPS of KRW11,647. Our target P/E is the global peers' 2026E average P/E with a 15% discount. We have adjusted the 15% discount to reflect escalation of the Middle-East conflict, which could lead to further delays on new orders from the region. Our benchmark is KOSPI.

Risks that may impede the achievement of the target price A downside risk is further delays in the Middle-East orders due to the continuing conflict between Iran and the US.

LIG D&A (079550 KS)**KRW 744,000 (18-Sep-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)

LIG D&A

Date	Rating	Target price	Closing price
06-Aug-26		1,100,000.00	702,000.00
07-May-26		1,200,000.00	866,000.00
13-Feb-26		650,000.00	460,000.00
14-Jan-26		670,000.00	556,000.00
06-Nov-25		620,000.00	481,000.00
07-Aug-25		700,000.00	603,000.00
17-Jun-25		650,000.00	561,000.00
08-May-25		440,000.00	372,500.00
16-Apr-25		360,000.00	288,000.00
08-Nov-24		350,000.00	261,000.00
22-Sep-24		270,000.00	211,000.00
28-Jul-24		260,000.00	210,500.00
28-Apr-24		195,000.00	169,500.00
10-Dec-23		150,000.00	98,600.00
27-Oct-23		110,000.00	85,800.00

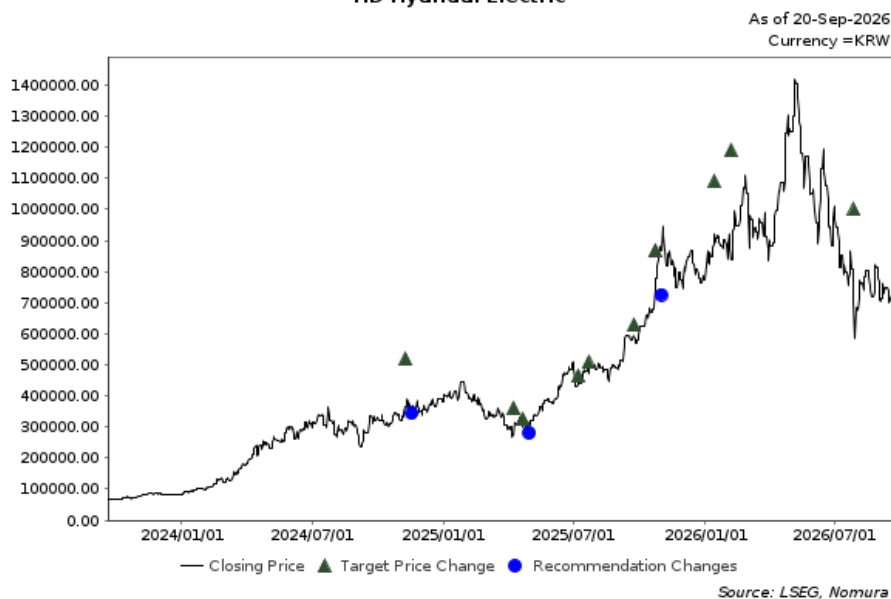
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of KRW1,100,000 is derived by applying a target P/E of 44.8x to 27F EPS of KRW24,844. The target P/E is at 40% premium to 2026E global peer average consensus multiple. The premium reflects potential upside arising from the Middle East region. The benchmark index for this stock is KOSPI.

Risks that may impede the achievement of the target price A downside risk could stem from delays in securing potential Middle Eastern new orders.

HD Hyundai Electric (267260 KS)**KRW 725,000 (18-Sep-2026) Buy (Sector rating: N/A)**

Rating and target price chart (three year history)

HD Hyundai Electric

Date	Rating	Target price	Closing price
28-Jul-26		1,000,000.00	705,000.00
06-Feb-26		1,190,000.00	840,000.00
14-Jan-26		1,090,000.00	922,000.00
23-Oct-25	Buy		746,000.00
23-Oct-25		870,000.00	746,000.00
24-Sep-25		630,000.00	588,000.00
22-Jul-25		509,000.00	468,000.00
08-Jul-25		467,000.00	451,000.00
22-Apr-25	Neutral		301,000.00
22-Apr-25		327,000.00	301,000.00
09-Apr-25		363,000.00	269,000.00
09-Nov-24	Buy		363,500.00
09-Nov-24		520,000.00	363,500.00

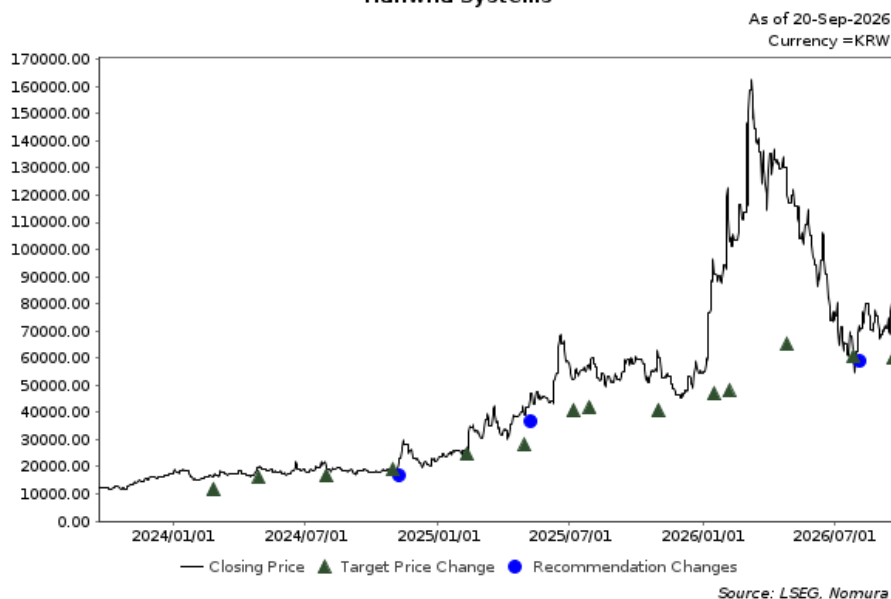
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of KRW1,000,000 is derived by applying a target P/E of 27.8x to 2027F EPS of KRW36,686. The target P/E is 2026E global consensus peer average. The benchmark index for this stock is KOSPI.

Risks that may impede the achievement of the target price Downside risk is market-destructive interest rate increase, which may lead to slowdown in AI DC investments.

Hanwha Systems (272210 KS)**KRW 80,000 (18-Sep-2026) Reduce (Sector rating: N/A)**

Rating and target price chart (three year history)

Hanwha Systems

Date	Rating	Target price	Closing price
20-Sep-26	Reduce		80,000.00
20-Sep-26		60,000.00	80,000.00
28-Jul-26	Neutral		61,200.00
28-Jul-26		61,000.00	61,200.00
27-Apr-26		65,000.00	126,100.00
06-Feb-26		48,000.00	103,000.00
16-Jan-26		47,000.00	90,900.00
31-Oct-25		41,000.00	59,900.00
29-Jul-25		42,000.00	56,500.00
06-Jul-25		41,000.00	51,900.00
30-Apr-25	Reduce		39,000.00
30-Apr-25		28,000.00	39,000.00
09-Feb-25		25,000.00	25,300.00
30-Oct-24	Neutral		19,140.00
30-Oct-24		19,000.00	19,140.00
30-Jul-24		17,000.00	20,500.00
28-Apr-24		16,000.00	19,940.00
25-Feb-24		12,000.00	16,240.00

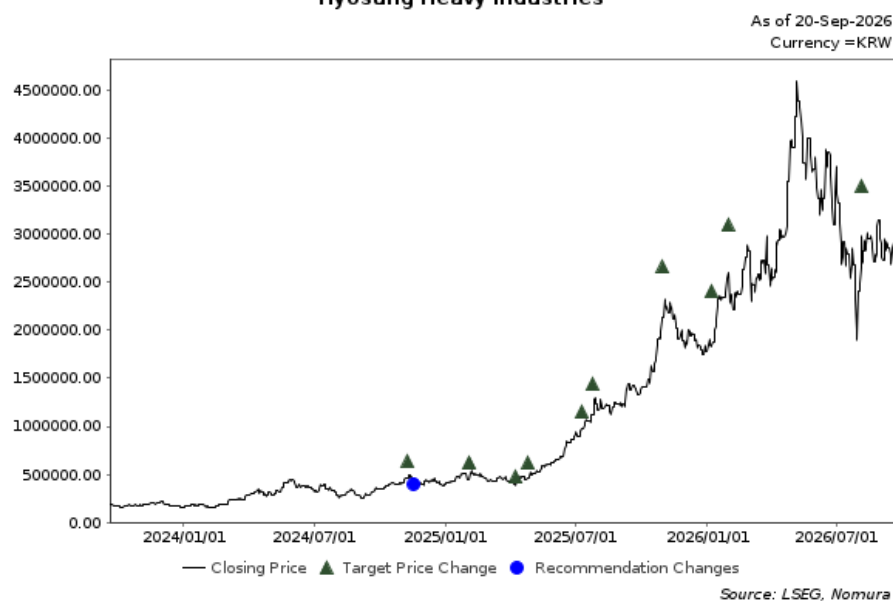
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of KRW60,000 is based on SOTP valuation methodology. We value its Defense division at KRW8.1tn (vs KRW8.4tn previously) and ICT division at KRW1.4tn (vs KRW1.3tn previously). Our target P/E of 32.8x for the Defense division is based on a 40% discount to the target P/E of LIG D&A (079550 KS, Buy)

Risks that may impede the achievement of the target price Upside risk can be regaining shares (Such as Austal USA) on MASGA project which could again lead to thematic valuation.

Hyosung Heavy Industries (298040 KS)**KRW 2,915,000 (18-Sep-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)

Hyosung Heavy Industries

Date	Rating	Target price	Closing price
05-Aug-26		3,500,000.00	2,985,000.00
30-Jan-26		3,100,000.00	2,603,000.00
07-Jan-26		2,410,000.00	1,825,000.00
31-Oct-25		2,660,000.00	2,135,000.00
25-Jul-25		1,440,000.00	1,125,000.00
10-Jul-25		1,150,000.00	975,000.00
26-Apr-25		618,000.00	459,500.00
09-Apr-25		474,000.00	382,500.00
03-Feb-25		629,000.00	447,500.00
09-Nov-24	Buy		461,500.00
09-Nov-24		633,000.00	461,500.00

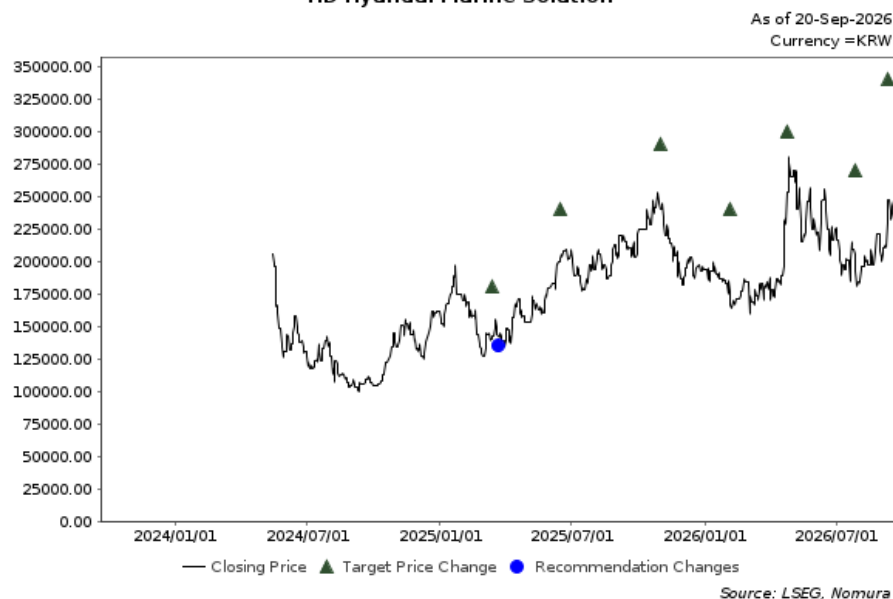
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of KRW3,500,000 is derived by applying a target P/E of 29.2x to 2027F EPS of KRW120,812. The target multiple is global peers' consensus average. The benchmark index for this stock is KOSPI.

Risks that may impede the achievement of the target price Downside risk: (1) delayed rate cut, and (2) aggressive capacity expansion by competitors.

HD Hyundai Marine Solution (443060 KS)**KRW 246,000 (18-Sep-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)

HD Hyundai Marine Solution

Date	Rating	Target price	Closing price
11-Sep-26		340,000.00	247,000.00
27-Jul-26		270,000.00	206,000.00
24-Apr-26		300,000.00	253,500.00
04-Feb-26		240,000.00	177,500.00
31-Oct-25		290,000.00	240,500.00
16-Jun-25		240,000.00	201,500.00
13-Mar-25	Buy		139,700.00
13-Mar-25		180,000.00	139,700.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We derive our TP of KRW340,000 by applying a target P/E of 37.2x to 2027F EPS of KRW9,102. The 20% premium results from the earnings upside from HD Hyundai Heavy Industries (329180 KS, Buy) four-stroke engine capacity expansion for AI DC. The benchmark index for the stock is KOSPI.

Risks that may impede the achievement of the target price Risks are potential headwinds in the newbuilding market.

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As at 30 June 2026.

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